

Thames Water

Restructuring & Recapitalisation Analysis

Independent research note | March 2026

Core question

Can Thames Water's proposed recapitalisation reduce leverage enough to restore financial resilience while allocating losses credibly across the capital structure?

£17.6bn	85.9%	£3.35bn	30% / 100%
Statutory net debt 30 Sep 2025	Senior gearing 30 Sep 2025	Proposed new equity	Class A / Class B proposed write-off

Executive conclusion

The March 2026 London & Valley Water proposal is best understood as a balance-sheet reset, not a conventional refinancing. It proposes £3.35bn of new equity, £3.25bn of day-1 debt and up to £3.30bn of committed undrawn debt, while writing off 30% of Class A debt and all Class B debt and existing subordinated capital. The stated 52% day-1 gearing target would represent a dramatic reduction from the 85.9% senior gearing reported at September 2025.

The proposal therefore addresses the immediate capital-structure problem. The harder question is durability. Thames Water remains exceptionally capital intensive: the proposal assumes £20.4bn of AMP8 totex. Even after a large creditor haircut and new equity injection, execution risk remains concentrated in operating performance, regulatory support and the ability to fund investment without rebuilding leverage.

My view: the proposed creditor losses are economically consistent with a company whose existing capital structure can no longer support its required investment programme. The recapitalisation can create a viable starting point, but only if the new regulatory and operating framework prevents the debt burden from rebuilding faster than the regulatory asset base.

1. Why Thames Water requires restructuring

At 30 September 2025, Thames Water reported £17.63bn of statutory net debt, liquidity of £861.7m and senior gearing of 85.9%. During the same six-month period it generated £1.88bn of underlying revenue and £1.21bn of underlying EBITDA, but invested £1.26bn of capital. The issue is therefore not simply whether the operating business can generate EBITDA; it is whether cash generation is sufficient relative to required investment, interest and a very large debt burden.

The first restructuring plan (RP1), sanctioned in February 2025, was primarily a liquidity bridge. It allowed up to £3bn of super-senior funding and extended Class A and Class B maturities by two years. That bought time for a more comprehensive recapitalisation, but did not by itself solve the long-term leverage problem.

By March 2025, Thames Water said that most equity proposals with disclosed financial metrics implied material impairment of Class A debt. KKR was selected as preferred partner later that month, and its proposal also indicated material Class A impairment. This is important: creditor losses were not a feature unique to the eventual L&VW; proposal; they were already emerging as a recurring requirement of credible recapitalisation proposals.

The restructuring problem

Pressure	Evidence by March 2026	Implication
High leverage	£17.6bn statutory net debt; 85.9% senior gearing	Limited capacity to absorb further debt
Heavy investment	£1.26bn H1 FY26 capex; £20.4bn proposed AMP8 totex	Turnaround requires sustained external funding
Liquidity dependence	£1.43bn of £1.5bn super-senior facility drawn at Sep-25	Business depends on creditor-supported liquidity
Weak creditor position	Most 2025 recap proposals implied Class A impairment	Par recovery is difficult to justify economically

2. The March 2026 recapitalisation proposal

On 16 March 2026, Thames Water disclosed headline terms of the London & Valley Water proposal. The plan envisages £3.35bn of new equity and up to £6.55bn of new debt, consisting of £3.25bn of day-1 debt and up to £3.30bn of committed undrawn debt. The funding is intended to support a £20.4bn AMP8 performance-improvement and turnaround programme.

Element	Proposed treatment	Analytical significance
New equity	£3.35bn	Large fresh equity cushion; absorbs future operating and capex risk
Day-1 debt	£3.25bn	Much smaller funded debt base at completion
Undrawn debt	Up to £3.30bn	Liquidity capacity to support AMP8 investment
Class A	30% write-off	70% recovery before considering detailed reinstatement terms
Class B	100% write-off	Junior creditors absorb full loss
Existing equity / subordinated	100% write-off	Existing owners lose their economic interest
Day-1 net gearing	52%	Material reset from Sep-25 senior gearing
Dividend restriction	No dividend before Apr 2035 or earlier if cashing	Keeps cash inside the turnaround

The hierarchy of losses is economically intuitive. New super-senior liquidity was provided specifically to keep the company operating through the restructuring process, so it sits above the legacy capital structure. Class A creditors then bear a material but partial impairment, Class B is wiped out, and existing subordinated capital receives no recovery. This is the classic logic of a distressed waterfall: junior capital cannot retain value while senior claims are impaired.

3. Recovery analysis

The public March 2026 announcement provides haircut percentages but not a complete contemporaneous creditor-by-creditor claim schedule. The accompanying Excel model therefore separates disclosed terms from illustrative absolute claim balances. The base case uses £15.0bn of Class A claims and £1.3bn of Class B claims purely to demonstrate the economics of the waterfall; these values should be updated if a definitive March 2026 creditor schedule is used.

Claim	Illustrative claim	Haircut	Illustrative recovery	Illustrative loss
Super senior	£1.43bn	0%	£1.43bn	-
Class A	£15.00bn	30%	£10.50bn	£4.50bn
Class B	£1.30bn	100%	-	£1.30bn

At a 30% haircut, every £1bn of Class A claims gives up £300m of value. The economic question is not whether this loss is large - it is - but whether the post-restructuring company is worth more as a viable, recapitalised utility than creditors would recover through a more disruptive insolvency or special-administration outcome.

Sensitivity

A 20% Class A haircut would preserve more creditor value but leave less room to deleverage; a 40-50% haircut would improve balance-sheet resilience but transfer substantially more value away from legacy lenders. The 30% proposal therefore represents a negotiation point between creditor recovery and the need to establish an investable capital structure.

4. Can the new structure remain sustainable?

The proposal targets 52% day-1 net gearing, rising and stabilising at around 60% by the end of AMP8, with a longer-term target of 65% or less. This implies that some re-leveraging is expected as investment is delivered. The key test is whether growth in the regulatory capital value and operating cash generation can keep pace with that increase in debt.

Using September 2025 statutory net debt and senior gearing as a rough proxy implies an RCV of about £20.5bn. If that asset base grew by 5% annually for four years, a 60% gearing ratio would support roughly £15bn of net debt by FY30. This is not a forecast: it is a simple framework showing why the regulatory asset base matters so much to creditor capacity.

The £9.9bn headline combination of new equity, day-1 debt and committed undrawn debt should also not be confused with the £20.4bn AMP8 totex requirement. Totex will be funded through a mixture of customer revenues, internally generated cash, debt and equity. The size of the programme nevertheless illustrates why a one-off balance-sheet haircut cannot substitute for sustained operational and regulatory performance.

Key downside cases

Risk	Transmission to value
Operational underperformance	Lower cash generation increases reliance on debt funding and delays deleveraging
Capex overruns	Raises funding needs beyond the planned capital envelope
Regulatory shortfall	Weakens allowed returns / cash recovery and can reduce debt capacity
Higher funding costs	Consumes cash that would otherwise support investment or debt reduction
Delayed recapitalisation	Extends dependence on expensive super-senior liquidity

5. Conclusion

Thames Water's restructuring is a useful example of why distressed finance is fundamentally about allocating losses, not merely extending maturities. RP1 solved a liquidity problem; the March 2026 proposal attempts to solve the solvency and capital-structure problem by forcing legacy capital to absorb losses and replacing it with a much larger equity cushion.

The 30% Class A haircut and full Class B wipeout are severe, but they are consistent with the fact that multiple recapitalisation proposals had already indicated that senior creditors could not expect full recovery while simultaneously attracting enough new capital to fund the turnaround. The proposed 52% day-1 gearing level gives the company a substantially stronger starting point.

The remaining risk is execution. A sustainable restructuring requires more than reducing debt on day one: the post-restructuring company must generate enough cash, receive a workable regulatory settlement and deliver a £20.4bn investment programme without recreating the same leverage problem. On that basis, the L&VW; proposal appears directionally capable of restoring financial resilience, but its success depends more on the operating and regulatory turnaround than on the initial haircut alone.

Research methodology & limitations

This note uses public information available by 19 March 2026. Publicly disclosed proposal terms and company financial metrics are separated from illustrative modelling assumptions. The accompanying workbook uses illustrative Class A and Class B absolute claim balances because the 16 March 2026 announcement discloses haircut percentages but not a complete contemporaneous creditor schedule. The analysis is educational and does not constitute investment advice.

Primary sources

Thames Water: Recapitalisation Update - London & Valley Water proposal (16 Mar 2026); Half Year Results 2025/26 and Interim Report 2025/26 (3 Dec 2025); Restructuring Plan Sanctioned (18 Feb 2025); Equity Raise Update (5 Mar 2025); KKR Preferred Partner update (31 Mar 2025).